AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

2 July 2026 · the qualitative

Shake Shack

$56.79

Mature-Company DCF

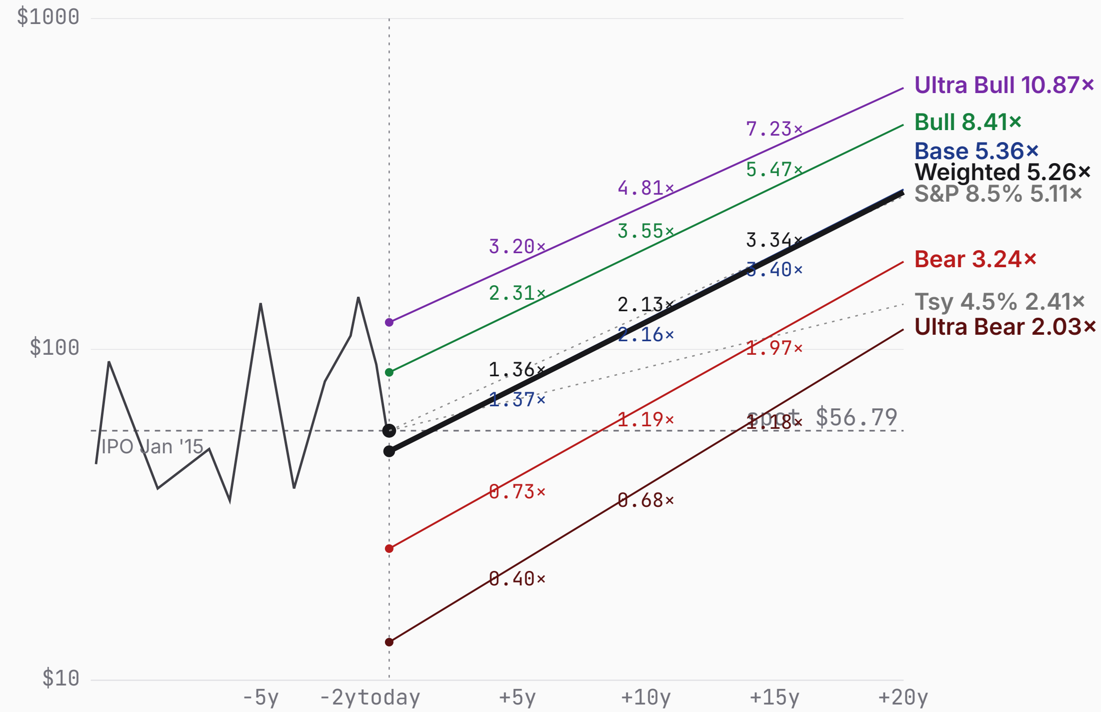
NYSE : SHAK · $2.43B mkt cap · 43M sh · $314M cash, $250M debt · Net cash +$64M ($314M cash vs $250M 0% convert, out-of-the-money); ~42.8M fully-diluted shares; Revenue $1.445B FY25 (+15%); GAAP op margin back to 4.3%; FCF +$57M (~4%); capex ~11.5% of revenue; Down ~55% YoY, near the 52-week low after the June-2026 guidance cut

THE CENTRAL QUESTION

Did Shake Shack's ~55% crash to ~13x EV/EBITDA correct an excess to fair value — or overshoot a long-runway, new-CEO unit-growth compounder?

Shake Shack trades at ~$2.34B (~$54.70, down ~55% YoY after a June-2026 guidance cut) — ~13x EV/EBITDA on $1.445B revenue growing ~15%, net cash, operating margin back to 4.3%, FCF positive (~$57M, ~4%). The bull is a 4x US unit runway (~373 → 1,500), a sub-$2.0M build cost, a new CEO (Rob Lynch, ex-Wingstop); the bear is capital intensity keeping FCF thin while traffic is barely positive. The DCF asks whether the runway converts to free cash flow — the modal case lands ~fair (-9%), so the crash corrected the excess, not created a bargain.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



PROBABILITY-WEIGHTED EXPECTED VALUE

$49.21 expected fair value today

-13.3% vs spot $56.79

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$77.11	$120.96	$189.95	$298.67
1.36× spot	2.13× spot	3.34× spot	5.26× spot

WEIGHTING RATIONALE

Ultra Bear 12% Traffic stalls; FCF never inflects; ~$13 (-76%).
Bear 30% Units grow but FCF stays thin; ~$25 (-54%).
Base 33% Runway continues; FCF grinds to 8%; ~$50 (-9%).
Bull 18% Lynch delivers FCF inflection; ~$85 (+56%).
Ultra Bull 7% Wingstop-style compounder; ~$121 (+121%).

Bull (18%) + Ultra Bull (7%) together contribute $23.79 — 48% of the $49.21 expected value despite 25% combined probability. Today's spot ($56.79) sits 15% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

ULTRA BEAR — $13.04

-77.0% vs spot

CAGR +3.6% WACC 11.5%
CAGR +3.6% Prob 12%

Traffic stalls; FCF never inflects.

BEAR — $25.00

-56.0% vs spot

CAGR +7.2% WACC 10.5%
CAGR +7.2% Prob 30%

Units grow; FCF stays thin.

BASE — $49.56

-12.7% vs spot

CAGR +11.0% WACC 9.5%
CAGR +11.0% Prob 33%

Runway continues; FCF grinds to 8%.

BULL — $85.23

+50.1% vs spot

CAGR +13.0% WACC 9.0%
CAGR +13.0% Prob 18%

Lynch delivers; FCF inflects to ~11%.

ULTRA BULL — $120.70

+112.5% vs spot

CAGR +14.8% WACC 8.5%
CAGR +14.8% Prob 7%

Wingstop-style compounder; FCF machine.

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LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Shake Shack scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 12% Bear 30% Base 33% Bull 18% Ultra Bull 7% · Weighted expected $49.21 (-13.3% vs spot)

ULTRA BEAR $13.04

-77.0% vs spot

Probability 12%

Traffic stalls; FCF never inflects.

WHY 12%

The genuine bear: traffic is already barely positive (FY26 SSS guided +2.5-3.0%, mostly price), beef inflation just forced a margin cut, and management missed its own FY25 EBITDA. 12% weight on the runway failing to convert.

WHAT HAPPENS

The consumer cracks and the better-burger trade-down bites: same-Shack sales go negative, AUV slides off its ~$4.0M peak, and the accelerating build pace (55-60 units/yr) keeps capex ahead of operating cash. FCF margin stays stuck near 3-4% as a soft top line de-levers the restaurant P&L.

A capital-intensive restaurant that isn't compounding FCF earns a low-single-digit-growth, ~9x terminal multiple → DCF ~$13 (-76%). Net cash sets a floor but can't offset a stalled unit machine.

BEAR $25.00

-56.0% vs spot

Probability 30%

Units grow; FCF stays thin.

WHY 30%

Share gains continue but the capital intensity + soft urban/tourism traffic keep FCF suppressed. 30% as the plausible 'grows but doesn't convert' path, given the guidance cut and the FY25 miss.

WHAT HAPPENS

Units keep opening but same-Shack sales stay low-single-digit and price-led, while heavy growth capex (~11-12% of revenue) holds FCF margin near 5%. The unit runway is real but the cash conversion isn't — revenue compounds ~7% to ~$2.0B at a still-thin ~5.5% FCF margin.

DCF ~$25 (-54%) — a capital-hungry grower whose free cash flow lags its revenue is worth well below today's price; the market's discount is warranted if FCF doesn't inflect.

BASE $49.56

-12.7% vs spot

Probability 33%

Runway continues; FCF grinds to 8%.

WHY 33%

Requires the unit runway to continue and FCF to improve as builds scale — consistent with management's plan and the build-cost reduction, but not a step-change. 33% as the central, near-fair outcome.

WHAT HAPPENS

The modal path: company-operated units keep compounding low-double-digit toward the 1,500 target, SSS runs low-single-digit, and FCF margin grinds from ~4% toward ~8% as growth capex moderates against a larger base. Revenue compounds ~11% to ~$2.4B.

DCF ~$50 (-9%) — roughly fair. A 4x unit runway is genuinely valuable, but at ~8% terminal FCF margin and a ~14x multiple the modal case only recovers to about today's price; the crash corrected the prior excess rather than overshooting it.

BULL $85.23

+50.1% vs spot

Probability 18%

Lynch delivers; FCF inflects to ~11%.

WHY 18%

Lynch's Wingstop record (elite unit-growth/digital/franchise compounder) plus the build-cost cut make a genuine FCF inflection credible. ~18% weight on the operational turnaround landing.

WHAT HAPPENS

Rob Lynch runs the Wingstop playbook: drive-thru/format expansion enlarges the addressable real estate, digital throughput and operational discipline lift restaurant margins, and FCF margin inflects toward ~11% as build cost stays below $2.0M. Revenue compounds ~13% to ~$2.7B.

DCF ~$85 (+56%) - if the unit runway converts to real free cash flow, the de-rated entry re-rates with the fundamentals; this is the core of the bull.

ULTRA BULL $120.70

+112.5% vs spot

Probability 7%

Wingstop-style compounder; FCF machine.

WHY 7%

Everything works - units AND margins AND international licensing AND a multiple re-rate, the Wingstop/Chipotle outcome under Lynch. ~7%, the long-duration tail.

WHAT HAPPENS

The full second act: company units march toward 1,500, capital-light international licensing scales the brand globally, digital/AI ('Project Catalyst') lifts throughput and margins, and Shake Shack becomes a true FCF machine at ~13% margin. Revenue compounds ~15% to ~$2.9B.

DCF ~$121 (+121%) - the brand reclaims a premium fast-casual compounder multiple; ~7% probability, the asymmetric upside the depressed entry is buying.

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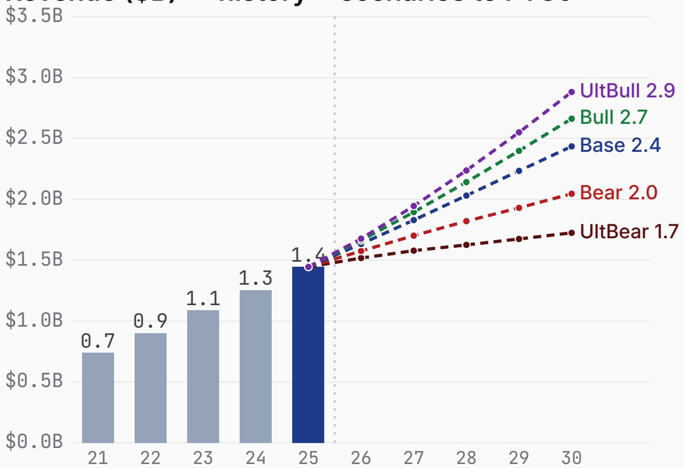
2 July 2026 · the snapshot

Shake Shack business snapshot

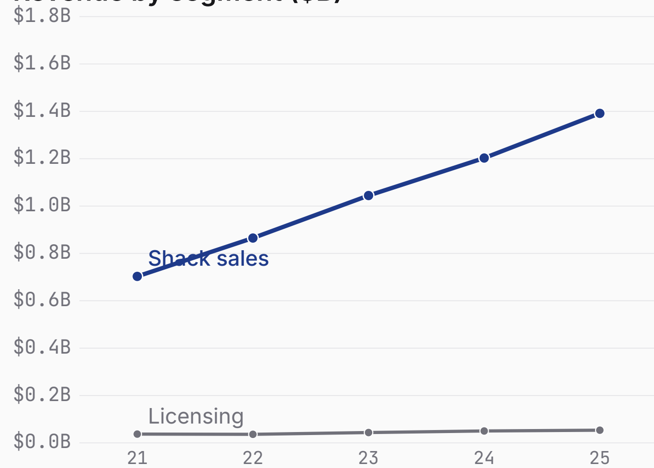
Bear $25.00 Base $49.56 Bull $85.23

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · FY2025 results + Jun-2026 guidance

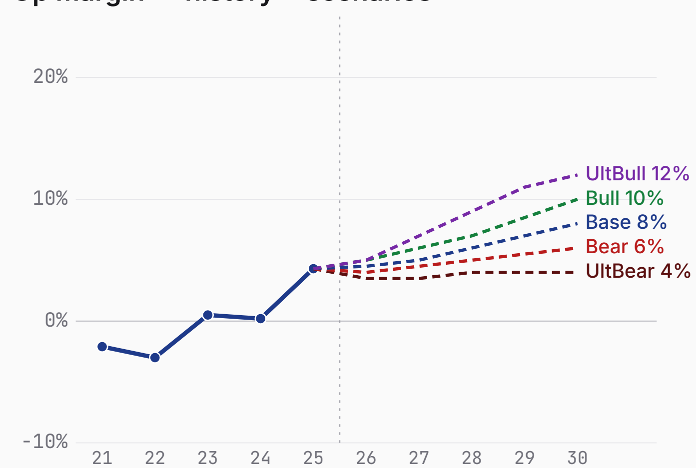
Revenue ($B) — history + scenarios to FY30



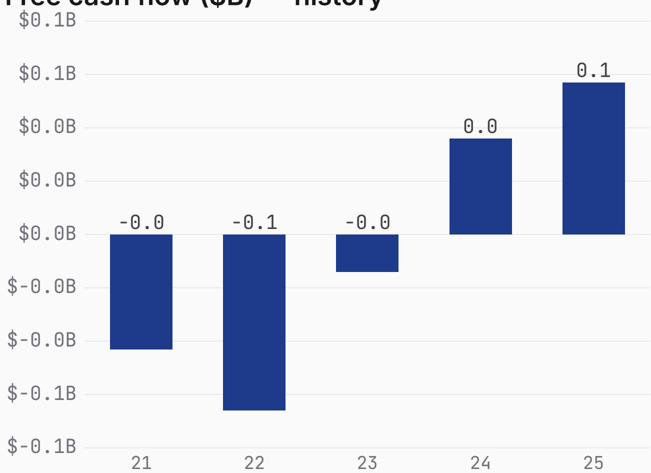
Revenue by segment ($B)



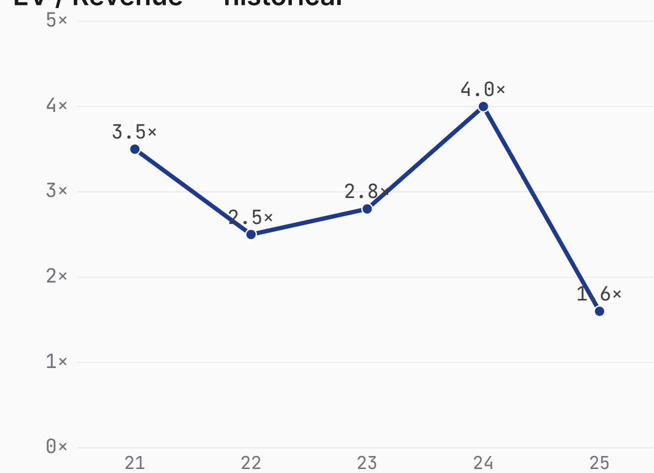
Op margin — history + scenarios



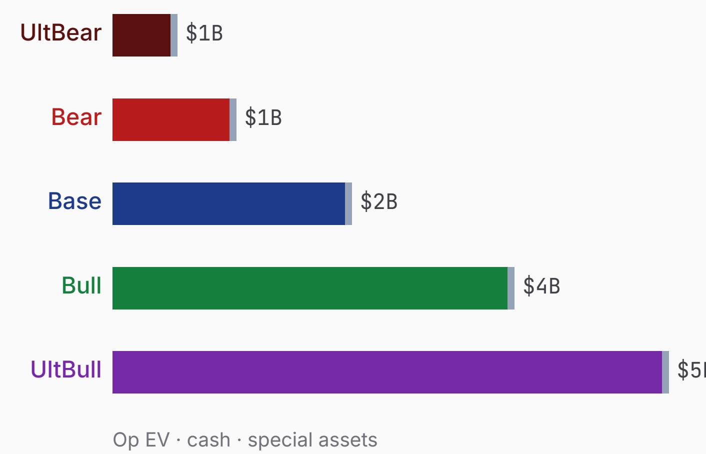
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1620533; revenue, GAAP operating income/margin, cash flow, debt), Shake Shack Q4/FY2025 + Q1 FY2026 releases (restaurant-level margin 22.6%, AUV ~$4.0M, ~373 company-operated units, ~$2.0M build cost, 1,500 US long-term target), June-2-2026 guidance cut. Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/EBITDA vs fast-casual peers (CMG/WING/CAVA/PTLO).

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2 July 2026 · the competitive landscape

Shake Shack 7 Powers · the moat, scored

Bear $25.00 Base $49.56 Bull $85.23

Arena. Premium fast-casual / 'better burger' — Shake Shack (premium brand, ~$4.0M AUV, ~373 company-operated + ~285 licensed) vs Chipotle, Wingstop, Cava, Portillo's, and the burger set (Five Guys, In-N-Out, McDonald's value); auditing a brand Power against capital intensity and a crowded field.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies
Sourcing/marketing leverage at $1.4B revenue and growing, but small vs McDonald's/CMG; national scale is years away.

Network Economies
None — restaurants aren't networks; the app/loyalty is a channel, not a network effect.

Counter-Positioning
Was the 'fine casual' better-burger disruptor; now the incumbent, with drive-thru a catch-up format, not counter-positioning.

Switching Costs
Zero — dining is promiscuous; every meal is a fresh decision.

Branding · thesis leans here
The dominant Power: a genuine premium brand (NYC heritage, ~$4.0M AUV well above QSR, pricing power) — but brand alone doesn't convert to FCF while capex is heavy.

Cornered Resource
Prime urban real estate + recipes/hospitality culture; valuable but not truly cornered.

Process Power
Emerging under Lynch — build-cost reduction, throughput, digital ('Project Catalyst'); unproven at scale, the bull's swing factor.

PEER SET

Chipotle (CMG) 6% gr · 17% mgn · ~18x EV/EBITDA
Best-in-class fast-casual compounder; the margin/FCF benchmark Shake Shack is measured against.

Wingstop (WING) 11% gr · 25% mgn · ~37x EV/EBITDA
Asset-light franchise compounder (Lynch's old shop); also wobbling — Q1'26 domestic SSS -8.7%.

Cava (CAVA) 25% gr · 12% mgn · ~46x EV/EBITDA
The fast-casual growth darling; richest multiple in the set, the unit-growth comp.

Portillo's (PTLO) 12% gr · 10% mgn · ~14x EV/EBITDA
Closest size/model comp — mid-cap, capital-intensive unit growth, similar multiple.

THREAT VECTORS · FALSIFIERS

Branding · QSR value wars / trade-down (McDonald's, Five Guys, In-N-Out)
falsifier: Same-Shack traffic stays negative as premium pricing loses to value in a soft consumer.

Scale Economies · Beef/commodity + labor inflation
falsifier: Restaurant-level margin falls below ~21%, rolling back the recovery the build needs.

Process Power · Cava / Wingstop / capital intensity
falsifier: FCF turns negative again as the 55-60/yr build pace outruns operating cash.

COMPETITIVE READ
Shake Shack's brand Power is genuine — a premium 'fine casual' name with ~$4.0M AUV well above QSR and real pricing power — but a brand doesn't convert to free cash flow while capex runs 11-12% of revenue to fund a 4x unit runway. The Audit: branding is durable (medium), process_power is the emerging swing factor under Lynch (build-cost cut, drive-thru, digital), and the threats are capital intensity + a soft, value-seeking consumer. The ~55% de-rate to ~13x EBITDA corrected the prior excess to roughly fair; the DCF tests whether the runway converts to FCF, and the modal case lands ~-9% — cheap-looking on the multiple, fair on the cash.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

2 July 2026 · the quantitative

Shake Shack show your work

Bear $25.00 Base $49.56 Bull $85.23 · Weighted $49.21 (-13.3%)

ULTRA BEAR $13.04

ASSUMPTIONS

5y revenue CAGR (%)	+3.6
Year-5 op margin (%)	4.0
WACC (%)	11.5
Terminal growth (%)	0.0
5y revenue CAGR (%)	+3.6
Starting revenue ($B)	1.45
Scenario probability (%)	12

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.52	+4%	+0.03	+0.03
FY27	1.58	+4%	+0.05	+0.04
FY28	1.63	+4%	+0.06	+0.04
FY29	1.67	+4%	+0.07	+0.04
FY30	1.72	+4%	+0.07	+0.04

Σ PV explicit FCF	+0.19
+ PV terminal (g 0.0%)	0.35

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.54B
+ Cash & investments	$0.31B
− Net debt	$0.25B
= Equity value	$0.60B
FY30 shares (M)	46
= Expected per share	$13.04

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$22.47	$38.73	$66.74	$115.02
0.40×	0.68×	1.18×	2.03×

BEAR $25.00

ASSUMPTIONS

5y revenue CAGR (%)	+7.2
Year-5 op margin (%)	6.0
WACC (%)	10.5
Terminal growth (%)	1.5
5y revenue CAGR (%)	+7.2
Starting revenue ($B)	1.45
Scenario probability (%)	30

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.58	+4%	+0.06	+0.06
FY27	1.70	+5%	+0.08	+0.06
FY28	1.82	+5%	+0.09	+0.07
FY29	1.93	+6%	+0.10	+0.07
FY30	2.05	+6%	+0.11	+0.07

Σ PV explicit FCF	+0.32
+ PV terminal (g 1.5%)	0.77

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.09B
+ Cash & investments	$0.31B
− Net debt	$0.25B
= Equity value	$1.15B
FY30 shares (M)	46
= Expected per share	$25.00

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$41.19	$67.85	$111.78	$184.16
0.73×	1.19×	1.97×	3.24×

BASE $49.56

ASSUMPTIONS

5y revenue CAGR (%)	+11.0
Year-5 op margin (%)	8.0
WACC (%)	9.5
Terminal growth (%)	2.0
5y revenue CAGR (%)	+11.0
Starting revenue ($B)	1.45
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.63	+5%	+0.07	+0.07
FY27	1.83	+5%	+0.10	+0.08
FY28	2.03	+6%	+0.13	+0.10
FY29	2.23	+7%	+0.17	+0.12
FY30	2.43	+8%	+0.20	+0.12

Σ PV explicit FCF	+0.49
+ PV terminal (g 2.0%)	1.68

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.17B
+ Cash & investments	$0.31B
− Net debt	$0.25B
= Equity value	$2.23B
FY30 shares (M)	45
= Expected per share	$49.56

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$78.02	$122.82	$193.35	$304.38
1.37×	2.16×	3.40×	5.36×

BULL $85.23

ASSUMPTIONS

5y revenue CAGR (%)	+13.0
Year-5 op margin (%)	10.0
WACC (%)	9.0
Terminal growth (%)	2.5
5y revenue CAGR (%)	+13.0
Starting revenue ($B)	1.45
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.66	+5%	+0.08	+0.08
FY27	1.89	+6%	+0.13	+0.11
FY28	2.14	+7%	+0.18	+0.14
FY29	2.40	+9%	+0.24	+0.17
FY30	2.66	+10%	+0.29	+0.19

Σ PV explicit FCF	+0.69
+ PV terminal (g 2.5%)	3.00

EQUITY BUILD · $B & PER SHARE

Operating EV	$3.69B
+ Cash & investments	$0.31B
− Net debt	$0.25B
= Equity value	$3.75B
FY30 shares (M)	44
= Expected per share	$85.23

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$131.14	$201.77	$310.45	$477.66
2.31×	3.55×	5.47×	8.41×

ULTRA BULL $120.70

ASSUMPTIONS

5y revenue CAGR (%)	+14.8
Year-5 op margin (%)	12.0
WACC (%)	8.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	+14.8
Starting revenue ($B)	1.45
Scenario probability (%)	7

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.68	+5%	+0.10	+0.09
FY27	1.94	+7%	+0.16	+0.13
FY28	2.24	+9%	+0.22	+0.17
FY29	2.55	+11%	+0.31	+0.22
FY30	2.88	+12%	+0.38	+0.25

Σ PV explicit FCF	+0.87
+ PV terminal (g 2.5%)	4.26

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.13B
+ Cash & investments	$0.31B
− Net debt	$0.25B
= Equity value	$5.19B
FY30 shares (M)	43
= Expected per share	$120.70

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$181.49	$272.90	$410.35	$617.02
3.20×	4.81×	7.23×	10.87×

Shake Shack People · Opportunity · Context · Deal

Bear $25.00 Base $49.56 Bull $85.23

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Rob Lynch — 2 yrs in seat

4.4% insider ownership

MEDIUM key-person risk

Capital allocation (realized)
Rob Lynch (ex-Papa John's) became CEO in May 2024 — a professional outside hire; founder Danny Meyer is non-executive Chairman, not CEO. The balance sheet is net cash (~$110M: $358M cash vs $248M of 0% converts due 2028). FY2025 revenue $1.45B (+15%), net income $50M, ~$57M FCF — a thin, capital-intensive profile (heavy unit-growth capex). No dividend or buyback.

Incentive alignment
Lynch's package is turnaround-weighted (FY2024 ~$13M, ~95% equity/bonus); insider trading is routine RSU tax withholding. Founder-Chairman Meyer is paid as a non-employee director and recently bought ~$2M of stock in the open market (May 2026) after selling into 2025 strength. The structural related-party item is the Up-C Tax Receivable Agreement — Shake Shack pays 85% of realized tax benefits to the continuing LLC owners (incl. Meyer).

GOVERNANCE FLAGS

- Up-C multi-class structure, but Class B is ONE vote per share (no super-voting) — public Class A holders are not disenfranchised
- founder-Chairman Meyer holds only ~8.3% of the vote, and his director-designation rights were wound down (terminated after the 2025 meeting) via a 2023 activist settlement — a de-escalation of founder control
- Chair and CEO are separated, but the Chair (Meyer) is the non-independent founder; 7 of 8 directors independent with a lead independent director (Flug)
- classified / staggered board (three classes) — an entrenchment feature
- Tax Receivable Agreement (85% of tax benefits to continuing LLC owners) and Union Square Hospitality founder ties — ongoing related-party vectors

THE FOUR LEGS

People ●●●○○
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the -10.0% finding) + position sizing.

> PEOPLE READ
> A cleaner control profile than most founder-influenced names — no super-voting (Class B is one vote), the founder-Chairman holds only ~8.3% of the vote, and his special designation rights were deliberately wound down. But the Up-C structure with its 85% Tax Receivable Agreement, a classified board, a non-independent founder-Chairman, and a ~2-year outside CEO mid-turnaround keep it below the plain single-class blue-chips. Key-person risk is moderate, leaning low.

Shake Shack supporting analysis · disclaimers · glossary

Bear $25.00 Base $49.56 Bull $85.23

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The de-rate corrected an excess, it didn't create a bargain.** ~13x EV/EBITDA is cheap vs CAVA (~46x) / WING (~37x) but the modal DCF is still ~-9% — thin capital-intensive FCF, not the multiple, is the constraint.

2 **FCF conversion is the whole question.** ~$57M FCF on $1.445B revenue (~4%) while capex runs ~11-12%; the gap between 'units grow' and 'free cash flow grows' is the bull/bear fork.

3 **Build cost below $2.0M is the real improvement.** A ~20% build-cost cut directly lifts new-unit cash-on-cash (~$0.9M restaurant profit on <$2.0M invested) and self-funds more of the runway.

4 **New CEO from an elite compounder.** Rob Lynch built Wingstop into a unit-growth/digital/franchise machine; the drive-thru format + 'Project Catalyst' digital backbone are his levers here.

5 **Net cash, p_fail ~0.** $314M cash vs a single $250M 0% convert (OTM, due 2028) — no solvency risk; the downside is multiple/FCF, not survival.

FALSIFICATION TRIGGERS

Bull validation

traffic re-accelerates above +2% (not just price/mix) · restaurant-level margin holds >=23% through beef inflation · FCF margin expands toward 8-10% · 55-60+ builds/yr at <$2.0M

Bear validation

same-Shack sales turn negative or traffic stays negative 2+ quarters · restaurant-level margin falls below ~21% · FCF turns negative again as capex outruns cash · another guide-vs-miss on EBITDA

Reframe needed

if unit growth slows below ~45 builds/yr or build cost creeps back above ~$2.2M, the runway shortens - re-rate the terminal toward a low-growth, capital-intensive restaurant multiple

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Same-Shack sales (SSS) — Comparable-base sales growth at company-operated Shacks open 24+ months; decelerating to ~+2% and increasingly price/mix, not traffic - the central bear signal.

Restaurant-level margin — Shack-level operating profit margin (non-GAAP, ~22.6% FY25) before corporate G&A and pre-opening - the unit-economics gauge; the build feeds it into a 4.3% company operating margin.

AUV — Average unit volume (~$4.0M company-operated) - the per-Shack sales base that, against build cost, sets new-unit returns.

Licensing — Capital-light royalty revenue (~3.7% of revenue but ~$2.2B system-wide sales) from licensed Shacks, mostly international - the brand's high-margin optionality.

FCF margin — Free cash flow / revenue (~4% FY25); the mature-DCF swing factor - whether heavy growth capex lets the unit runway convert to free cash flow.